

Budget Concepts

History of Budget:

- India's first budget was presented on **April 7, 1860**, when India was still under the British colonial rule. It was introduced by the then Finance Minister of India, **James Wilson**.
- Independent India's first budget was presented on November 26, 1947 by the then Finance Minister **RK Shanmukham Chetty**.
- Former Prime Minister **Moraraji Desai** holds the record of presenting the most number of budgets in the history of the country. He had presented 10 budgets during his stint as finance minister during 1962-69, followed by P Chidambaram (9), Pranab Mukherjee (8), Finance Minister Nirmala Sitharaman (9).
- The Budget 1999-2000, Finance Minister Yashwant Sinha presented the Budget at 11 am for the first time in India before that it was being presented at 5pm.
- From Budget 2017-18, the budget was started to be presented on 1st February and Railway Budget was merged.**

Released by: BUDGET DIVISION, Department of Economic Affairs, **MINISTRY OF FINANCE**

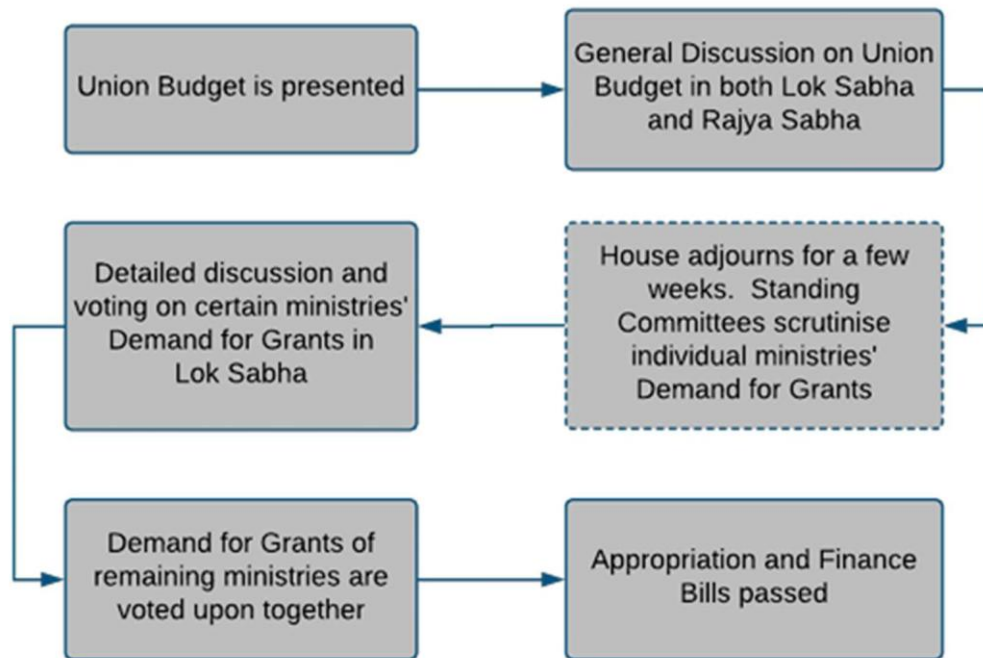
Budget Procedure

The budget is presented in the parliament on the first working day of February at 11.00 am. The General Budget is presented in Lok Sabha by the Finance Minister and he makes a speech introducing the budget and after the speech it is presented in the Rajya Sabha. No discussion on Budget takes place on the day it is presented to the house.

The list of Budget documents presented to the Parliament, besides the Finance Minister's Budget Speech, is given below:

- Annual Financial Statement (AFS)
- Demands for Grants (DG)
- Finance Bill
- Fiscal Policy Statements mandated under Fiscal Responsibility and Budget Management (FRBM) Act, 2003
 - Macro-Economic Framework Statement
 - Medium-Term Fiscal Policy cum Fiscal Policy Strategy Statement
- Expenditure Budget
- Budget Receipt
- Budget Expenditure Profile
- Budget at a Glance
- Memorandum Explaining the Provisions in the Finance Bill
- Output Outcome Monitoring Framework
- Key Features of Budget 2026-27
- Implementation of Budget Announcements 2025-26

Budget process: Budget is discussed in two stages - the general discussion followed by detailed discussion



General Discussion

The general discussion on the Budget is held on a day subsequent to the presentation of the Budget by the Finance Minister. Discussion at this stage is confined to the general examination of the Budget and policies of taxation expressed during the budget speech. General discussion on the budget happens in both the houses of the parliament. After the general discussion is over, the houses are adjourned for a fixed number of days.

Detailed Discussion (Discussion on Demand for Grants)

During this period the demand for grants of various ministries/ departments including Railways are considered by the "Departmentally Related Standing Committees" (DRSC). These committees are required to make their reports to the house within the specified period without asking for more time. After the reports of the standing committees are presented to the house (Lok Sabha), the house proceeds to the discussion and voting on Demands for Grants, ministry wise.

The time for discussion and voting of Demands for Grants is allocated by the speaker in consultation with the leader of the house. On the last day of the allocated days, the speaker puts all the outstanding demands to the vote of the

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house. This is popularly known as "Guillotine". It concludes the discussion on demand for grants. In Rajya Sabha, there is only a General Discussion on the budget. It does not vote on the Demand for Grants.

A. Annual Financial Statement (AFS): The Annual Financial Statement (AFS), as provided under Article 112, shows the estimated receipts and expenditure of the Government of India for 2026-27 along with revised estimates for 2025-26 and also actuals for the year 2024-25. The receipts and disbursements are shown under three parts in which Government Accounts are kept viz., (i) The Consolidated Fund of India, (ii) The Contingency Fund of India and (iii) The Public Account of India.

The Revenue and the Capital sections together, make the Union Budget.

1. Consolidated Fund of India (CFI) (Article 266):

- All revenues received by the government by way of taxes whether direct or indirect and other receipts flowing to the government in connection with the conduct of government business like receipts from Railways, Post, transport, government PSU's etc. are credited into the CFI. Similarly all loans raised by the government by issue of public notifications, treasury bills and loans obtained from foreign governments and international institutions are credited into this fund.
- All expenditures incurred by the government for the conduct of its business including repayment of internal and external debt and release of loans to States/ Union Territory governments for various purposes are debited against this fund and no amount can be withdrawn from the Fund without the authorization from the Parliament.

2. Contingency Fund of India (Article 267):

- This fund is in the nature of an imprest (a fixed fund for a specific purpose) account and is kept at the disposal of the President of India (by the Secretary to the Government of India, Ministry of Finance, Department of Economic Affairs) to enable the government to meet unforeseen expenses pending authorization by the Parliament.
- The money is used to provide immediate relief to victims of natural calamities and also to implement any new policy decision taken by the Government pending its approval by the Parliament.
 - o In all such cases after the Parliament meets, a Bill is presented indicating the total expenditure to be incurred on the scheme/ project during the current financial year.
 - o After the Parliament votes the Bill, the money already spent out of the Contingency Fund is recouped/ withdrawn from the Consolidated Fund of India to ensure that the corpus of the Contingency Fund remains intact.
- The corpus of the fund has been increased to Rs. 30,000 crores (as proposed in budget 2021-22, earlier it was Rs. 500 crore) and is enhanced from time to time by the Parliament.

3. Public Account of India (Article 266):

- All the public money received by the government other than those which are credited to the Consolidated Fund of India are accounted for Public Account.

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- The receipts into the Public Account and disbursements out of it are not subject to vote by the Parliament. Receipts under this account mainly flow from the sale of Savings Certificates, contributions into General Provident Fund, Public Provident Fund, Security Deposits and Earnest Money Deposits (a kind of security deposits) received by the government.
 - In respect of such deposits, the government is acting as a Banker or Trustee and refunds the money after the completion of the contract/ event.
- Every State Government has its own Consolidated Fund, Public Account and Contingency Fund (as mandated by the Constitution). Every Union Territory has their own Consolidated Fund, Contingency Fund and Public Account as per "The Government of Union Territories Act, 1963". The Contingency Fund of Union Territories lie with their "Administrators" or "Lieutenant Governors".
- The Union Budget can be demarcated into the part pertaining to revenue which is for ease of reference termed as Revenue Budget and the part pertaining to Capital which is for ease of reference termed as Capital Budget given below:
- The Revenue Budget consists of the revenue receipts of the Government (Tax revenues and non-tax revenues) and the revenue expenditure. (Details are given further)
- Capital receipts and capital payments together constitute the Capital Budget. (Details are given further)

B. Demands for Grants:

- **Article 113** of the Constitution mandates that the estimates of expenditure from the Consolidated Fund of India included in the Annual Financial Statement and required to be voted by the Lok Sabha, be submitted in the form of Demands for Grants.
- The Demands for Grants are presented to the Lok Sabha along with the Annual Financial Statement.
- Generally, one Demand for Grant is presented in respect of each Ministry or Department. However, more than one Demand may be presented for a Ministry or Department depending on the nature of expenditure.
- With regard to Union Territories, a separate Demand is presented for each of such Union Territories.

C. Finance Bill:

- At the time of presentation of the Annual Financial Statement before the Parliament, a Finance Bill is also presented in fulfillment of the requirement of Article 110 (1)(a) of the Constitution, detailing the **imposition, abolition, remission, alteration or regulation of taxes proposed in the Budget**. It also contains other provisions relating to Budget that could be classified as Money Bill. **A Finance Bill is a Money Bill as defined in Article 110 of the Constitution.**
- The bill has to be passed by the Parliament within 75 days of its introduction o Appropriation and Finance Bills are Money Bills. These bills are sent to the Rajya Sabha for passing but it is on the Lok

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Sabha whether to accept any recommendations of the Rajya Sabha or not. Whether Lok Sabha accepts the recommendations of the Rajya Sabha or not, the Bills are deemed to be passed by both the houses.

D. Fiscal Policy Statements mandated under FRBM Act.

- Macro-Economic Framework Statement:
 - o The Macro-economic Framework Statement is presented to Parliament under Section 3 of the Fiscal Responsibility and Budget Management Act, 2003 and the rules made thereunder.
 - o It contains an assessment of the growth prospects of the economy along with the statement of specific underlying assumptions.
 - o It also contains an assessment regarding the GDP growth rate, the domestic economy and the stability of the external sector of the economy, fiscal balance of the Central Government and the external sector balance of the economy.
- Medium-Term Fiscal Policy cum Fiscal Policy Strategy Statement:
 - o The Medium-Term Fiscal Policy cum Fiscal Policy Strategy Statement is presented to Parliament under Section 3 of the Fiscal Responsibility and Budget Management Act, 2003.
 - o It sets out the three-year rolling targets for specific fiscal indicators in relation to GDP at market prices, namely
 - (i) Fiscal Deficit,
 - (ii) Revenue Deficit,
 - (iii) Primary Deficit
 - (iv) Tax Revenue
 - (v) Non-tax Revenue and
 - (vi) Central Government Debt
- The Statement includes the underlying assumptions, an assessment of the balance between revenue receipts and revenue expenditure and the use of capital receipts including market borrowings for the creation of productive assets.
- It also outlines for the existing financial year, the strategic priorities of the Government relating to taxation, expenditure, borrowings, guarantees etc.

Explanatory Documents: To facilitate a more comprehensive understanding of the major features of the Budget, certain other explanatory documents are presented. These are briefly summarized below:

- **Expenditure Budget** : The provisions made for a scheme or a programme may be spread over a number of Major Heads in the Revenue and Capital sections in a Demand for Grants. In the Expenditure Budget, the estimates made for a scheme/programme are brought together and shown on a net basis on Revenue and Capital basis at one place.

Receipt Budget

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- Estimates of receipts included in the Annual Financial Statement are further analysed in the document “Receipt Budget”.
- The document provides details of tax and non-tax revenue receipts and capital receipts and explains the estimates.
- The document also provides a statement on the arrears of tax revenues and nontax revenues, as mandated under the Fiscal Responsibility and Budget Management Rules, 2004.
- This document also shows liabilities of the Government on account of securities (bonds) issued in lieu of oil and fertilizer subsidies in the past

E. Expenditure Profile:

- It gives an aggregation of various types of expenditure and certain other items across demands.
- The document contains statements indicating major variations between BE 2025-2026 and RE 2025-26.
- A statement each, showing (i) Gender Budgeting (ii) Schemes for Development of Scheduled Castes and Scheduled Tribes including Scheduled Caste Sub Scheme (SCSS) and Tribal Sub Scheme (TSS) allocations and (iii) Schemes for the Welfare of Children are also included in this document.

F. Budget at a Glance:

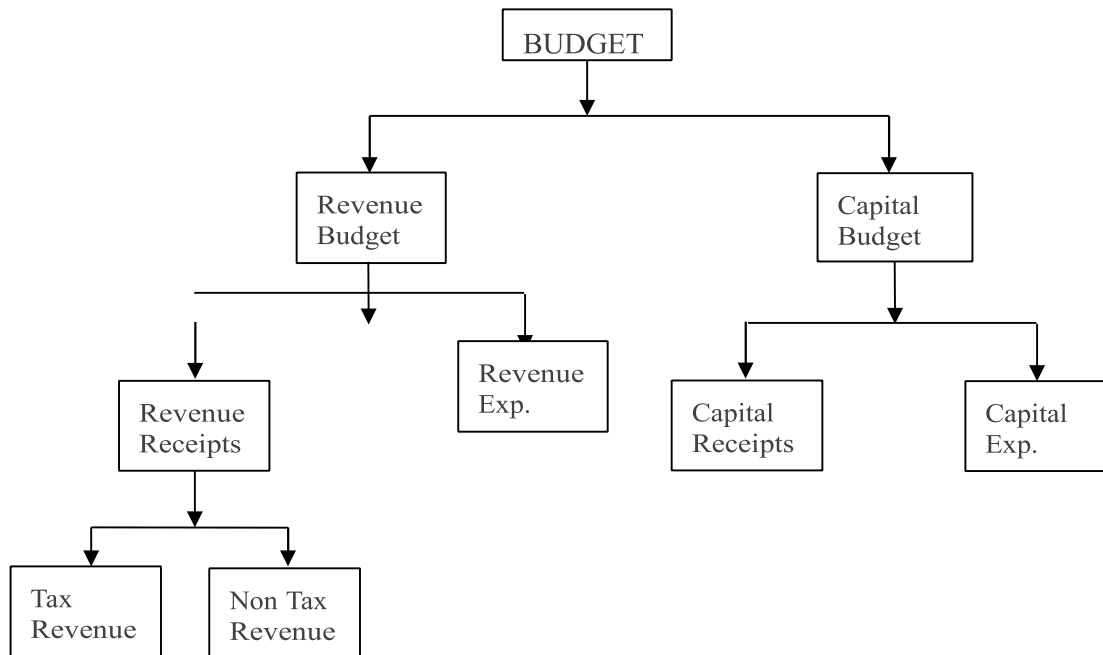
This document shows in brief, receipts and disbursements along with broad details of tax revenues and other receipts.

- This document provides details of resources transferred by the Central Government to State and Union Territory Governments.
- This document also shows the revenue deficit, the gross primary deficit and the gross fiscal deficit of the Central Government.

G. Memorandum Explaining the Provisions in the Finance Bill:

- To facilitate understanding of the taxation proposals contained in the finance Bill, the provisions and their implications are explained in the document titled Memorandum Explaining the Provisions in the Finance Bill.
- The “Output Outcome Monitoring Framework” has clearly defined outputs and outcomes for various Central Sector Schemes and Centrally Sponsored Schemes with measurable indicators against them and specific targets for FY 2026-27.

Budget Classification: The article 112 specifies that the budget must distinguish the expenditures on revenue account from other expenditures (capital account). Therefore, the budget comprises of the Revenue Budget and Capital Budget



Revenue Receipts: Those receipts of the government which neither creates a liability for the government nor reduces the assets (physical or financial) of the government are called revenue receipts. Revenue receipts are non-redeemable i.e. they cannot be reclaimed from the government. Revenue receipts can be of two types.

- Tax Revenues consists of direct and indirect taxes of the central government.
- Non-Tax Revenue consists of interest receipts on account of loans given by central government, dividend and profits on investments made by the central government (i.e. PSUs), fees and fines and other receipts for services rendered by the government like passport fees etc.
 - Cash grants-in-aid from foreign countries and international organisations are also part of the non-tax revenue.

REVENUE RECEIPTS

- **Tax Revenue**
- **Gross Tax Revenue**
 - Corporation Tax
 - Taxes on Income
 - Wealth Tax
 - Customs
 - Union Excise Duties (ALCOHOL, PETROLEUM products, Cess, Surcharge etc)
 - Service Tax
 - GST
 - CGST
 - IGST
 - GST Compensation Cess
 - Taxes of Union Territories
 - **Non-Tax Revenue**
- Interest receipts

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- Dividends and Profits (Dividends from Public Sector Enterprises and other investments, Dividend/Surplus of Reserve Bank of India, Nationalized Banks & Financial Institutions)
- External Grants
- Other Non-Tax Revenue
- Receipts of Union Territories

Examples of Other Non-Tax Revenue: Fiscal Services (Currency, Coinage and Mint), Social Services, Economic Services, Grants-in-aid and Contributions.

Social Services:

Education, Sports, Art and Culture
Medical and Public Health
Family Welfare
Housing
Information and Publicity
Labour and Employment
Social Security and Welfare

Economic Services

- Agriculture and allied activities
- Industry and Minerals
- Energy (Power, petroleum, coal, royalties from energy sector etc)
- Transport
- Communications

Revenue Expenditure:

- Revenue expenditure is for the **normal running of Government Departments** and for rendering of various services, making interest payments on debt, meeting subsidies, grants in aid, etc. **Broadly, the expenditure which does not result in creation of assets for the Government of India**, is treated as revenue expenditure like establishment of defence services, interest payments on debt incurred by the central government. All grants given to the State Governments/Union Territories and other parties are also treated as revenue expenditure in the books of Union Government even though some of the grants may be used for creation of capital assets by Grantee bodies / entities.

Capital Receipts: Those receipts of the government which **either creates liability or reduces the assets** (physical or financial) are called capital receipts. The main items of capital receipts are loans raised by the government from the public (market borrowings), borrowing by the government from the RBI, commercial banks and other financial institutions through the sale of government securities (treasury bills and dated securities), loans received from foreign governments and international organizations, and recovery of loans previously granted by the central government. It also includes small savings schemes (Post office savings accounts, National Savings Certificates etc.), Provident Funds and net receipts obtained from the sale of shares in PSUs (disinvestment).

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- **Debt Receipts (Net):**
 - o Market Borrowings (G-sec) o Short term Borrowing (T- Bill etc.) Securities against Small Savings o State Provident Funds o External Debt
 - o Gold Bonds, Gold Monetisation etc
- **Non-Debt Receipts (Net):**
 - o Recoveries of loans and advances
 - o Disinvestment Receipts of Government stake in Public Sector Banks and Financial Institutions.

Capital Expenditure: Those expenses of the government which either creates assets (physical or financial) or reduces liabilities are called capital expenditures. Capital expenditures include acquisition of land, building, machinery, equipment, Capital Outlay of the Defence Services, purchase of shares, by the government and loans and advances by the central government to state and union territory governments, PSUs and other parties.

Government Deficits: When a government spends more than it collects by way of revenue, it incurs a deficit. There are mainly three ways through which government captures this deficit.

1. **Revenue Deficit:** Revenue Deficit is the difference between the government's revenue expenditure and revenue receipts.

$$\text{Revenue Deficit} = \text{Revenue Expenditure} - \text{Revenue Receipts}$$

Revenue Deficit implies that government's current expenses are more than its current revenues and will have to use up the savings of other sectors of the economy to finance its consumption expenditure. Since a major part of the revenue expenditure (salary, pension, interest payments, subsidies etc.) is committed expenditure, it cannot be reduced. When the government is faced with revenue deficit, it generally reduces the productive capital expenditure and welfare expenditure to cover up the excess revenue expenses. This would mean lower future growth and adverse welfare implications. Revenue Deficit is bad because it implies that government is spending more on its current and day to day needs (which may not give return in future) than its current revenues.

2. **Fiscal Deficit:** Fiscal deficit is the difference between the government's total expenditure (Revenue and Capital) and its total receipts (Revenue and Capital) except the borrowings.

$$\begin{aligned}
 \text{Fiscal Deficit} &= \text{Total Expenditure} - \text{Total Receipts except borrowing} \\
 &= (\text{Rev Exp.} + \text{Cap Exp.}) - (\text{Rev Rec.} + \text{Cap Rec. except borrowing}) \\
 &= (\text{Rev Exp.} - \text{Rev Rec.}) + (\text{Cap Exp.} - \text{Cap Rec. except borrowing}) \\
 &= \text{Revenue Deficit} + \text{Cap Exp.} - \text{Cap Rec. except borrowing} \\
 &= \text{Total borrowing} \\
 &= \text{Net borrowing at home} + \text{borrowing from RBI} + \text{Borrowing from abroad}
 \end{aligned}$$

Let us understand with an example.

Suppose, government's total expenditure = 17 lakh crore
and total receipts = 13 lakh crore

Then government will have to borrow (17 lakh crore - 13 lakh crore) 4 lakh crore to meet its expenditure. And this 4 lakh crore is called the fiscal deficit. That is why **fiscal deficit is also equal to the total borrowing i.e. 4 lakh crore.**

But this 4 lakh crore which government borrows is also part of capital receipt for the government and it must be included in capital receipts. So in actual sense government's total receipts will become 17 lakh crore (i.e. 13 lakh crore + 4 lakh crore borrowing).

Hence, in the above example:

Fiscal Deficit = Total expenditure - total receipts except borrowing

Otherwise the difference of total expenditure and total receipts will always be zero.

Fiscal deficit indicates the total borrowing of the government from all sources i.e. domestic borrowing plus borrowing from external sources. Domestic borrowing includes governments debt securities like Treasury Bills and Dated Securities. Commercial banks purchase these securities on a major scale to meet their SLR requirements. Other financial institutions and RBI also purchases these securities.

The fiscal deficit is a key variable in judging the financial health of the government sector and the stability of economy. It can be seen from above that revenue deficit is a part of fiscal deficit. **A large share of revenue deficit in the fiscal deficit indicates that a large part of borrowing is being used to meet its consumption expenditure needs rather than investment.**

3. **Primary Deficit:** A large part of the government's fiscal deficit is because it needs to pay interest on its previous accumulated debt. If we want to measure the government's deficit excluding the interest payment on the previous debt then it is called the primary deficit. The goal of measuring the primary deficit is to focus on present fiscal imbalances.

Primary Deficit = Fiscal Deficit - Net interest liabilities

So, **primary deficit tells about the deficit in the government's budget excluding the interest liabilities on the government's accumulated debt.**

In the Union Budget 2011-12, government introduced a new term called the "**effective revenue deficit**".

The definition of the revenue expenditure is that it shall not create any physical or financial assets. But this creates a problem in accounts. There are several grants given by the Central Government to the States / UTs which comes under revenue expenditure for the central government but some of these grants create assets, which are owned by the State government and not by the Central government. Hence, for Central Government it is basically a revenue expenditure but ultimately it is creating asset for the State government.

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For example, under the MGNREGA programme, some capital assets such as roads, ponds etc. are created, thus the grants for such expenditure shall not strictly fall in the revenue expenditure. Hence the central government also calculates "effective revenue deficit" which excludes such grants which are used for creation of assets.

Effective Revenue Deficit = Revenue Deficit - Grants for creation of capital assets

Deficit financing is the budgetary situation where government expenditure is higher than its revenue. It is a practice adopted for financing the excess expenditure with outside resources by either printing of additional currency or through borrowing.

Sources of Financing for Fiscal Deficit:

- Market Borrowings (G-sec) (Highest share)
- Securities against Small Savings (2nd highest share)
- External Debt
- State Provident Funds